

ECON 104-001: Contemporary Macroeconomic Principles

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Class Hours: Tuesdays and Thursdays, 10:30 a.m.–11:45 a.m.

Location: Innovation Hall Room 223

Office Hours: Tuesday, 2:30 p.m.–4:00 p.m., Department of Economics,
Buchanan Hall — or by appointment.

Course Overview

Why are some countries rich and others poor? Why does an economy do well in some periods (boom) and worse in others (bust)—with falling output and rising unemployment? To what extent is a market economy self-regulating? Can government intervention through changes in government spending, taxation, or the money supply improve an economy? These are the questions we will seek to answer in this course. We may not end up with answers for all of them—but the course aims to furnish you with a way of thinking, “eyeglasses” to look at the world more clearly, if you will.

Macroeconomics studies economies as a whole, and is concerned with business activity, unemployment, output, and inflation. This course is divided into three parts: (1) microfoundations, (2) understanding the macroeconomy, and (3) macroeconomic policy.

Course Learning Outcomes

By the end of the course, the main goal is for you to be inculcated with an appreciation for the economic way of thinking about the world, as if it were second nature to you. If you diligently do all the readings, attend the lectures, and go through the assigned material, you should be an informed member of society, able to intelligibly participate in discussions about the macroeconomy, the role of markets and various institutions, and public policies. You should also be able to meet the learning objectives of Mason Core Social and Behavioral Science after the course.

Mason Core

This class is a **Mason Core** course and counts towards partial fulfillment of the “Exploration” requirement of **Mason Core** as a “**Social and Behavioral Science**” class. The **Learning Outcomes** for Social and Behavioral Science courses are as follows.

Upon completing a Social and Behavioral course, students will be able to:

- Explain how individuals, groups, or institutions are influenced by contextual factors.
- Demonstrate awareness of changes in social and cultural constructs.
- Use appropriate methods and resources to apply social and behavioral science concepts, terminology, principles, and theories in the analysis of significant human issues, past or present.

Textbook

The required textbook is *Modern Principles: Macroeconomics* (6th ed.) by Tyler Cowen and Alex Tabarrok.

You may use the 4th or 5th edition of the textbook as well. You may buy a new or a used textbook from the bookstore, or an e-book. To supplement your reading, there is a fairly exhaustive collection of videos at “Marginal Revolution University,” created by the textbook authors, found at <https://mru.org>.

Additional readings, videos, or other material will be shared via Canvas.

Grading and Assignment Structure

Component	Weight
Quizzes	25%
Midterm Exam 1	20%
Midterm Exam 2	20%
Final Exam	30%
Wonder how, wonder why	5%
Total	100%

Quizzes

I will give 8 random quizzes over the semester at the start of class, to assess whether students have read the textbook or watched the videos. Each quiz will have no more than two questions. The quizzes will test definitions and meanings of terms; there may be simple fill-in-the-blank or multiple-choice questions; and you may be expected to reproduce graphs as well. The goal of these quizzes is not to test your in-depth knowledge of the concepts in the readings, but to give you an incentive to keep up with the readings and come to class prepared. If you diligently keep up with the readings, these will be easy points for you to score!

I will drop your one lowest grade. If you are unable to attend class or miss the quiz at the beginning, you will be assigned a score of zero, which can be dropped. **There will be no make-up quizzes.** Each of the other 7 quizzes will count toward about 3.57% of your grade.

Exams

Exams will be closed book. You will not be able to use any cell phones, tablets, computers, or other electronic devices. You are required to bring a Scantron sheet and a pencil to each exam. **There will be no make-up exams, no exceptions.** If you miss either of the midterm exams, scheduled on September 22 or November 5, the weight of that exam will be transferred to the final exam. This is applicable if you miss either one or both exams. The final exam will be cumulative.

Wonder How, Wonder Why

As mentioned in the course overview, the goal of the course is to furnish you with the “eyeglasses” of economics. As we proceed through the semester, I would like you to look at the world through these eyeglasses and look for things that catch your fancy, that make you *wonder*. I would like you to post these to the Canvas assignments that will be shared, before the start of every Tuesday class (except for the first class on August 25). This need not be longer than 1–2 sentences. This is only a

completion grade. The score you receive will be in proportion to the number of these *wonders* that you share! I will share more details with you in the first class.

Grading Scale

A+: 97.0–100	A: 92.0–96.9	A–: 90.0–91.9
B+: 88.0–89.9	B: 82.0–87.9	B–: 80.0–81.9
C+: 78.0–79.9	C: 72.0–77.9	C–: 70.0–71.9
D: 60.0–69.9	F: below 60.0	

Class Policies

Office hours: My office hours are on Tuesday, 2:30 p.m.–4:00 p.m., in the Department of Economics, Buchanan Hall. You may treat coming to these as “walk-in.” If you are unable to meet during office hours, please email me to schedule an appointment for an alternative time.

Communication policy: The best way to reach me is by email: ssurana@gmu.edu. I will endeavor to respond to your emails within 24–48 working hours. Please include ECON 104-001 in the subject line; this will help me respond to you quickly.

Electronic devices: Flat devices (such as tablets) may be used for note-taking. Laptops are not permitted in class. Phones must be kept out of reach during class. Exceptions to this require an accommodation from [Disability Services](#), as detailed below.

Attendance: Class attendance is not mandatory—however, if you miss class, you may miss out on that day’s quiz, and there are no make-ups. I also reserve the right to ask questions that may be drawn from topics in my lectures or classroom discussions rather than the readings. If you would like to do well in the class, attendance is strongly encouraged. If you miss a class, you are responsible for getting notes from one of your classmates.

Recording: Students may not record any visuals or audio from class. Exceptions to this require an accommodation from [Disability Services](#), as detailed below.

Extra credit: No extra credit will be offered in this course. Requests for extra credit will not be entertained.

Important dates:

September 22	Midterm Exam 1
November 5	Midterm Exam 2
December 10	Final Exam

Class Schedule

The following schedule should be viewed as tentative and subject to change. I will notify you of any changes over Canvas.

Week	Day	Date	Topic	Textbook	Required Videos
Module 1: Microfoundations of Macroeconomics					
Week 1	T	Aug 25	Syllabus day	Syllabus	
	R	Aug 27	The economic way of thinking	Chapter 1	Opportunity Cost and Tradeoffs Marginal Thinking and the Sunk Cost Fallacy
Week 2	T	Sep 1	Production, Specialization, and Exchange	Chapter 2	Division of Labor: Burgers and Ships Comparative Advantage and the Tragedy of Tasmania How the Division of Knowledge Saved My Son's Life
	R	Sep 3	Demand	Chapter 3	The Demand Curve What Shifts the Demand Curve? What Is Consumer Surplus?
Week 3	T	Sep 8	Supply	Chapter 3	The Supply Curve What Shifts the Supply Curve? How to Calculate Producer Surplus from a Supply Curve
	R	Sep 10	Equilibrium	Chapter 4; I, Pencil	The Equilibrium Price and Quantity A Price Is a Signal Wrapped Up in an Incentive Supply and Demand Terminology
Week 4	T	Sep 15	Price controls	Chapter 5	Information and Incentives Price Ceilings: Lines and Search Costs Rent Control in Mumbai Price Floors: The Minimum Wage
	R	Sep 17	Review Day	Chapter 5	The Great Economic Problem
Week 5	T	Sep 22	Exam 1		
Module 2: Understanding the Macroeconomy					
Week 5	R	Sep 24	Macro statistics: GDP	Chapter 6	What is Gross Domestic Product (GDP)? Nominal vs. Real GDP Splitting GDP
Week 6	T	Sep 29	Economic growth (1)	Chapter 7	Basic Facts of Wealth What Caused the Industrial Revolution?
	R	Oct 1	Economic growth (2)	Chapter 8	The Importance of Institutions Puzzle of Growth: Rich Countries and Poor Countries Intro to the Solow Model of Economic Growth
Week 7	T	Oct 6	Savings and investments	Chapter 9	Saving and Borrowing Intro to Stock Markets
	R	Oct 8	Macro statistics: unemployment rate	Chapter 11	Defining the Unemployment Rate Frictional Unemployment Structural Unemployment Cyclical Unemployment
Week 8	T	Oct 13	Macro statistics: inflation	Chapter 12	Zimbabwe and Hyperinflation: Who Wants to Be a Trillionaire? Understanding Inflation and CPI (Consumer Price Index)
	R	Oct 15	Quantity theory of money	Chapter 12	Quantity Theory of Money How Money Supply Drives Inflation (With Graphs and Examples) Costs of Inflation: Price Confusion and Money Illusion

Week	Day	Date	Topic	Textbook	Required Videos
Week 9	T	Oct 20	Business cycles and Say's law	Chapter 13	Intro to Business Fluctuations
	R	Oct 22	Aggregate demand and Aggregate Supply	Chapter 13	The Aggregate Demand Curve The Long-Run Aggregate Supply Curve The Short-Run Aggregate Supply Curve
Week 10	T	Oct 27	Different Schools of Thought	Chapter 13	Understanding the Great Depression Game of Theories: The Keynesians Game of Theories: The Monetarists Game of Theories: Real Business Cycle
	R	Oct 29	Review of AD–AS		Game of Theories: The Austrians Game of Theories: The Great Recession
Week 11	T	Nov 3	<i>Election Day — no class</i>		
	R	Nov 5	Exam 2		
Module 3: Macroeconomic Policy					
Week 12	T	Nov 10	Fiscal policy	Chapter 17	Introduction to Fiscal Policy Fiscal Policy: The Best Case Scenario
	R	Nov 12	Fiscal policy	Chapter 18	The Limits of Fiscal Policy The Dangers of Fiscal Policy Fiscal Policy and Crowding Out
Week 13	T	Nov 17	Monetary policy	Chapter 15	What Is Money? Monetary Policy and the Federal Reserve
	R	Nov 19	Monetary policy	Chapter 16	Monetary Policy: The Best Case Scenario Monetary Policy: The Negative Real Shock Dilemma When the Fed Does Too Much
Week 14	T	Nov 24	Austrian business cycle theory	To be assigned	Game of Theories: The Austrians
	R	Nov 26	<i>Thanksgiving — no class</i>		
Week 15	T	Dec 1	Political economy and public choice	Chapter 21	
	R	Dec 3	Review day		
Week 16	T	Dec 8	<i>Reading day — no class</i>		
	R	Dec 10	Final Exam		

Miscellaneous Information

Academic Standards: Use of AI Tools

You may use AI tools (such as ChatGPT, Copilot, or Claude) to help explain difficult concepts, clarify confusion about the reading, or check your understanding of the material. **AI tools may not be used to complete graded assignments, exams, or homework on your behalf.** Keep in mind that AI can be confidently wrong. You are responsible for verifying anything it tells you against the textbook and lecture material.

Academic Standards

It is expected that students adhere to the George Mason University Academic Standards as they relate to integrity regarding coursework and grades. The Academic Standards read as follows:

“As members of the George Mason University community, we are committed to fostering an environment of trust, respect, and scholarly excellence. Our academic standards

are the foundation of this commitment, guiding our behavior and interactions within this academic community. . . . Our standards are embodied in our courses, policies, and scholarship, and are upheld in the following principles:"

- **Honesty:** Providing accurate information in all academic endeavors, including communications, assignments, and examinations.
- **Acknowledgement:** Giving proper credit for all contributions to one's work, including accurate citations/references and acknowledging shared authorship in group work.
- **Uniqueness of work:** Ensuring that all submitted work is the result of one's own effort and is original, including free from self-plagiarism.

Violations of these standards—including but not limited to plagiarism, fabrication, and cheating—are taken seriously and addressed per university procedures. More information: <https://academicstandards.gmu.edu>. If you have read this far in the syllabus, you are diligent already; email me by 11:59 p.m. on August 24 with your name and a movie, book, or TV show character you would like to grab coffee with, and why, and I will drop your two lowest quizzes instead of just one.

Campus Closure or Emergency Class Cancellation

If the campus closes, or if a class meeting needs to be canceled or adjusted due to weather or another concern, check Canvas for updates on how to continue learning and for information about any changes to events or assignments.

Special Accommodations

If you require any special accommodations, please see me immediately following the first class so that we can work together to make sure that you have what you need to succeed in this course. Please bring appropriate paperwork from the University ([Disability Services](#)).

Common Policies Addendum

The George Mason University Common Policies Addendum, covering Academic Standards, Accommodations for Students with Disabilities, FERPA, and Title IX, applies to this course and is available at: <https://stearnscenter.gmu.edu/home/gmu-common-course-policies/>.